cooperatives and arranging an efficient collection, storage, and distribution system. Less well-developed but similar systems also operate in egg, poultry, and fisheries, whose production has also grown apace. Despite weaker and more volatile production, pulses, the poor-man's protein, have seen a lower price rise.

Two things stand out regarding Indian milk prices.

1. Global milk prices have surged, helping Indian milk prices rise higher; the decline of the EU's milk surplus has been a key factor, as important as rising appetites among richer urban classes in emerging markets;
2. Indian milk prices have, however, grown even faster, doubling from US$200 a tonne in 2002 to well over US$400, catching up with the USA, the world's richest milk producer, and matching New Zealand. Notice also the smoother price rise in India, which is characteristic of more 'organised' market processes. Such higher prices are expected to lead to rapid reduction response, although rising feed costs (fodder) for smallholders are a major factor in a land-scarce country.

[**Sources : (1)** FAO Food Stats and Country Data; **(2)** Duvvuri Subbarao, 2011. The Challenge of Food Inflation, Presidential Address, Annual Conference of the Indian Society of Agricultural Marketing, Hyderabad, 22 November. **(3)** Subir Gokarn, 2011. Kale Memorial Lecture, Gokhale Institute of Politics and Economics, Pune, 9 December. **(4)** Dipak Dasgupta et al., 2011. Domestic Wheat Price Formation and Food Price Inflation in India, Ministry of Finance Working Paper. **(5)** Nancy Morgan, 2009. Dairy Prices, Policies and Potential Opportunities for Smallholders in Asia, Asia-Pacific Dairy Strategy project. **(6)** Wayne Arnold, 2007. A Thirst for Milk Bred by New Wealth Sends Prices Soaring, New York Times, September 4. **(7)** Jesper Stage, Jorn Stage, and Gordon McGranahan, 2009. Is Urbanization Contributing to Higher Food Prices? UNFPA. **(8)** Milk Prices up 35%, CCI targets 'cartel'. The Financial Express, 2011. **(9)** Shalini Gupta, Food Expenditure and Intake in the NSS 66th Round, Economic and Political Weekly, 14 January, 2012, Vol. XLVII, No. 2.]

[as quoted by the *Economic Survey 2011-12*, op. cit., p. 81-82]